AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XI EXAMINATION

APRIL/ MAY 2017

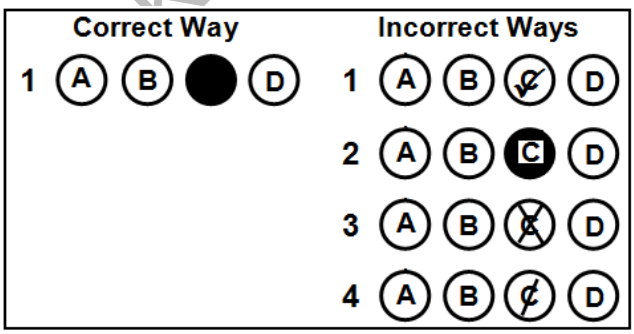
Principles of Commerce Paper I

Time: 35 minutes Marks: 25

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a scientific calculator if you wish.

1. Mr Nabeel is planning to open a small shoe store. He is considering some factors before starting his business.

   The MOST important factor he should consider when choosing a location for his store is

   A. accessibility to banks.
   B. availability of workers.
   C. accessibility to suppliers.
   D. availability of transportation.

2. Mr Ahmed runs a real estate agency; he facilitates sale and purchase of property.

   The amount of money he earns against the service he gives is termed as a/ an

   A. fee income.
   B. rent income.
   C. interest income.
   D. commission income.

3. Trade and auxiliaries to trade are two important aspects of commerce.

   All of the following are auxiliaries to trade EXCEPT

   A. banking.
   B. insurance.
   C. production .
   D. transportation.

4. Mr Shams, Mr Umer and Mr Akber are partners in a firm, sharing profit and losses equally. Mr Umer is a sleeping partner in the firm.

   Which of the following CORRECTLY describes Mr Umer?

   A. He will invest and will take part in business activities.
   B. He will neither invest nor take part in business activities.
   C. He will invest but will not take part in business activities.
   D. He will not invest but will take part in business activities.

5. Which of the following is an example of a sole owner retail business?

   A. Radio Traders
   B. Sonic Audit Firm
   C. Ultra Estate Agent
   D. Alpha Motors Limited

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6. In order to meet their socio-economic needs, Mr Salman and Mr Amir want to start a cooperative society.

   The minimum number of members they will require to start cooperative society is

   A. 2
   B. 7
   C. 10
   D. 20

7. The maximum number of members in a private limited company will be

   A. 2
   B. 10
   C. 20
   D. 50

8. The minimum number of directors in a private limited company will be

   A. 2
   B. 3
   C. 7
   D. 10

9. In the eyes of the law, a company has the legal status of a/ an

   A. partner.
   B. director.
   C. artificial person.
   D. legitimate being.

10. The biggest DEMERIT of the centralised filing system is

    A. lack of efficiency.
    B. creation of uniformity.
    C. possible loss of content.
    D. waste of time and resources.

11. The postal system in Pakistan is witnessing a downturn because of technological changes. These technological changes are forcing business organisations to adopt new methods of communication.

    All of the following communication tools contributed to this downturn EXCEPT

    A. e-mail.
    B. video conferencing.
    C. mobile phone 3G technology.
    D. Urgent Postal mail Services (UPS).

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12. A marketing mix does NOT consist of

    A. place.
    B. product.
    C. promotion.
    D. purchasing.

13. Which of the following is considered to be the suitable model for a small-scale retail business?

    A. Discount house
    B. Pavement dealer
    C. Mail-order house
    D. Hire-purchase store

14. Ms Simra is a small manufacturer of handicraft. She wants to advertise her product locally with a limited budget.

    The BEST mode of advertisement in her case for maximum coverage would be

    A. radio.
    B. posters.
    C. magazines.
    D. newspapers.

15. Mr Irfan has ordered mobile accessories from China. The goods have reached Karachi port and in order to get them released, he needs to present a certain document.

    The document that Mr Irfan needs to present is a

    A. bill of lading.
    B. mate's receipt.
    C. letter of credit.
    D. certificate of origin.

16. Which of the following is NOT the function of the Trade Development Authority of Pakistan (TDAP)?

    A. To encourage, promote and train new exporters.
    B. To maintain good relations with the government of Pakistan.
    C. To organise exhibitions and delegations to and from Pakistan.
    D. To maintain the confidence of exporters via appropriate communication.

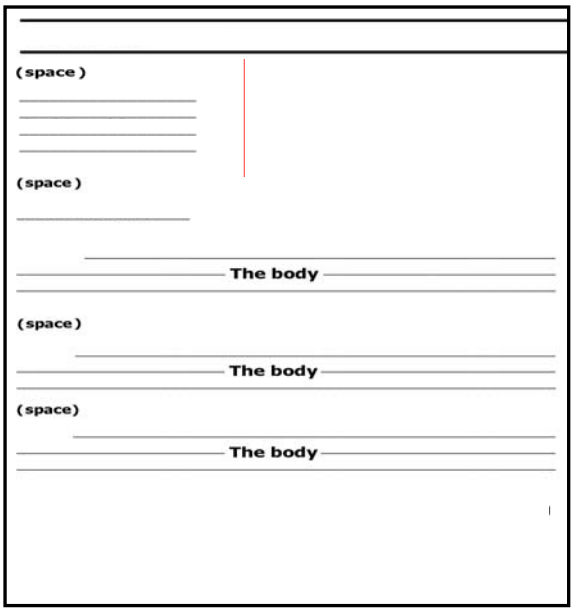
17. In order to increase the volume of sales, a business opted to sell its goods on credit. In order to receive money from credit customers, the business gives a discount.

    The discount mentioned above is known as a

    A. cash discount.
    B. trade discount.
    C. discount received.
    D. trade rate discount.

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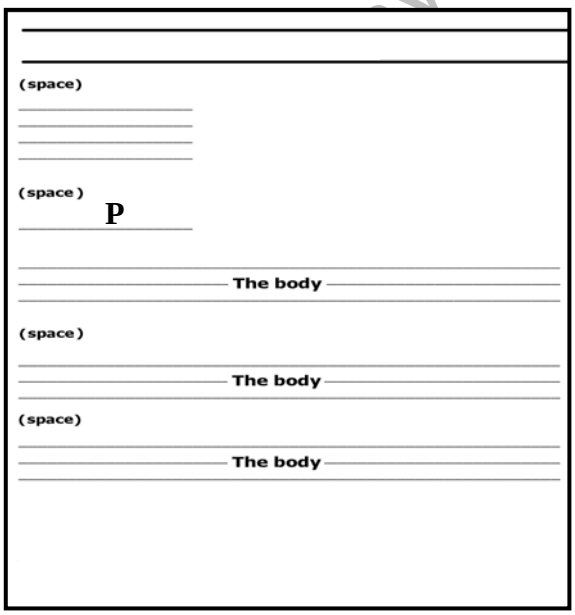
18. Anas Limited uses the following format of letter writing for their commercial correspondence.



The given format of letter is known as a/ an

A. report form.
B. full block form.
C. memorandum form.
D. indented semi-block form.

19.



In the given format of letter, '**P**' represents

A. heading.
B. salutation.
C. inside address.
D. reference section.

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20. The Manager of the Customer Relationship Department of Minhas Sons is looking at the database of its customers. She asked her Assistant Manager to send a letter to all the customers who have not transacted with them in the last six months.

The letter written by the Assistant Manager is referred to as a/ an

A. sales letter.
B. order letter.
C. dunning letter.
D. sales promotion letter.

21. After completing her Master's degree, Ms Kinza has applied for the post of Accounts Manager in Sami Limited (a multinational company). The reference section of her résumé showed the contact details of her previous employer.

In order to get more information about her, the Human Resource Manager of Sami Limited wrote a letter to her previous employer.

The letter written by the Human Resource Manager is known as a/ an

A. job letter.
B. inquiry letter.
C. letter of intent.
D. announcement letter.

22. Which of the following is the last part of a business letter?

A. Salutation
B. Post script
C. Inside address
D. Complimentary closing

23. Rahat Limited is a Private Limited Company. In order to meet its day-to-day operations, the business generates money by

A. issuing shares.
B. collection from sales.
C. taking loan from a bank.
D. borrowing from partners.

24. Mr Karim imported fibre glass. His consignment was stored under the custody of the Customs Office. The goods will be released as soon as Mr Karim pays the custom duty. Such a storage house which keeps the goods till the custom dues are cleared, is classified as a

A. public warehouse.
B. private warehouse.
C. bonded warehouse.
D. government warehouse.

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25. Which of the following is an example of insurable risk?



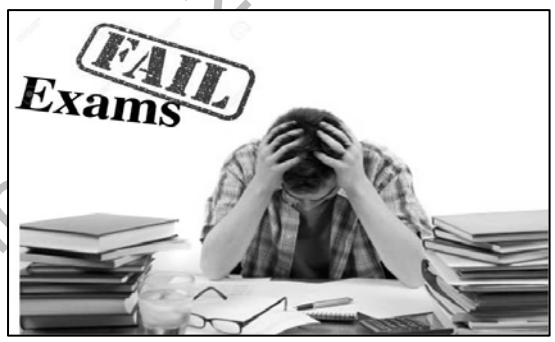
A



C



B



D

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